

May 28, 2026 03:51 PM GMT

Aspeed Technology | Asia Pacific

Announcing New SoC with Lattice; Stay OW

WHAT'S CHANGED

Aspeed Technology (5274.TWO)	From	To
Price Target	NT\$20,000.00	NT\$23,456.00

Stronger BMC demand, new AST1840 upside from 2027, easing supply, sharp AST2700 ramp and accretive margin outlook guarantees strong Aspeed performance in the next few years.

Embedding FPGA into SoC – announcing AST1840 SoC with collaboration with Lattice (LSCC.O): AST1840 integrates server management and control into a single SoC, combining Aspeed's chips (including SMC, I/O expander) with embedded FPGA (eFPGA). It aims to simplify next-gen server designs by replacing external FPGA/CPLD components, while preserving programmable, instant-on control for power sequencing, I/O bridging and SKU adaptation. AST1840 is also security-enhanced, sharing Caliptra root-of-trust functionality with the eFPGA to support more secure platform management on AI and general servers. Customer sampling starts in 4Q26 with mass production targeting 3Q27, already generating huge interest from CSP and enterprise customers. Although revenue contribution might be small in 2027-28e (MSe 1% and 2% of total revenue, respectively), management expects a multimillion-unit TAM, with margin starting at an accretive 70%.

Backlog now equaling 2025 total revenue with supply easing: Aspeed's current lead time has extended to 30-36 weeks. It is in the final stage of E-glass qualification and expects substrate shortages to gradually ease through 4Q26. The shipment-based price hike began in April. Management hasn't initiated another round, satisfied with 68-69% gross margin and focused on long-term customer relationships.

AST2700 penetration rate increases sharply in 2027e; AST2800 under development: AST2700 remains on track to ship in 2H26, with penetration rising from 5% in 2026e to ~30% in 2027e, mainly helped by new x86/Arm CPU and ASIC server introductions, including Venice, Axion 2, Helios and Teton 3. AST2800, a 6nm design, is under development, targeting mass production in 2029. Management says a 100mn-unit life-cycle volume for AST2800 is easily achievable. For SMC (BIC), Aspeed has won two more tier-1 CSPs besides the existing two US hyperscalers, with the next-gen chip entering mass production in 2H27. ASP should rise at least 50%, with gross margin moving above the corporate average vs. first-generating being gross margin dilutive.

We lift Aspeed PT to NT\$23,456; stay OW: We factor in strong mid- to long-term BMC guidance and the new FPGA-embedded SoC contribution starting 3Q27. We expect Aspeed to be a key beneficiary of growing AI demand, especially as CSP capex shifts from AI GPU to CPU. Valuation trades at 54x 2027 and 40x 2028e vs. our targets of 72x and 49x, respectively.

MORGAN STANLEY TAIWAN LIMITED+

Daniel Yen, CFA

Equity Analyst

Daniel.Yen@morganstanley.com

+886 2 2730-2863

Charlie Chan

Equity Analyst

Charlie.Chan@morganstanley.com

+886 2 2730-1725

MORGAN STANLEY ASIA LIMITED+

Daisy Dai, CFA

Equity Analyst

Daisy.Dai@morganstanley.com

+852 2848-7310

MORGAN STANLEY TAIWAN LIMITED+

Tiffany Yeh

Equity Analyst

Tiffany.Yeh@morganstanley.com

+886 2 7712-3032

Aspeed Technology (5274.TWO, 5274 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$23,456.00
Up/downside to price target (%)	32
Shr price, close (May 28, 2026)	NT\$17,835.00
52-Week Range	NT\$19,195.00-3,735.00
Sh out, dil, curr (mn)	38
Mkt cap, curr (mn)	NT\$669,776
EV, curr (mn)	NT\$663,477
Avg daily trading value (mn)	NT\$3,188

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	103.94	232.09	327.66	462.42
Prior EPS (NT\$)**	-	202.73	307.49	393.53
EPS (NT\$)§	100.67	187.73	292.98	457.22
Revenue, net (NT\$ mn)	9,085	18,507	25,891	35,207
EBITDA (NT\$ mn)	4,984	10,773	15,370	21,738
ModelWare net inc (NT\$ mn)	3,928	8,774	12,386	17,481
P/E	69.8	76.8	54.4	38.6
P/BV	36.0	51.3	36.9	26.5
RNOA (%)	214.7	635.0	418.9	420.9
ROE (%)	69.7	115.9	94.8	96.4
EV/EBITDA	53.4	61.2	42.7	29.9
Div yld (%)	0.5	1.1	1.5	2.2
FCF yld ratio (%)**	0.6	1.1	1.7	2.4
Leverage (EOP) (%)	(83.2)	(78.9)	(78.6)	(79.0)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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New Product Launch with Lattice FPGA Collaboration: AST1840

AST1840 functions as an integrated server-management and control SoC that combines Aspeed's chips (including SMC, I/O expander) with embedded FPGA (eFPGA) capability, packaged together using ASE and SPIL SiP solution. Its purpose is to simplify next-generation server designs by replacing external FPGA/CPLD components, while still providing programmable, instant-on control for tasks such as power sequencing, I/O bridging and adaptation across different server SKUs. AST1840 is also a security-enhanced device because it shares Caliptra root-of-trust functionality with the eFPGA, supporting more secure platform management on AI and general servers.

AST1840 is set to start customer sampling from 4Q26 with mass production targeting 3Q27, which already generated huge interest among CSP and enterprise customers. Although revenue contribution might be small in 2027-28e (MSe of 1% in 2027 and 2% of 2028 total revenue), management expects the TAM to be multimillion units, with margin starting at an accretive level of 70%.

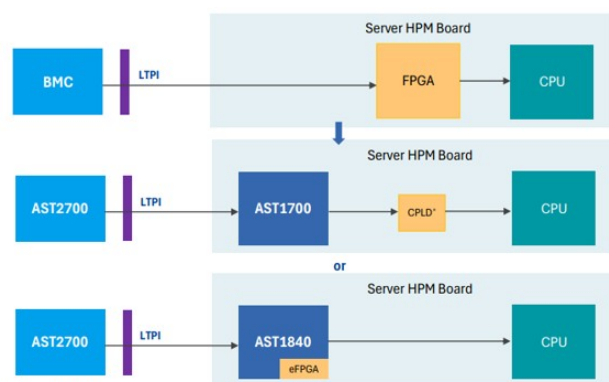
In addition, AST1840 enables streaming boot with/without local flash, which can make updates easier and further reduce board complexity.

Exhibit 1: AST1840 SoC: Aspeed and Lattice partnered SoC



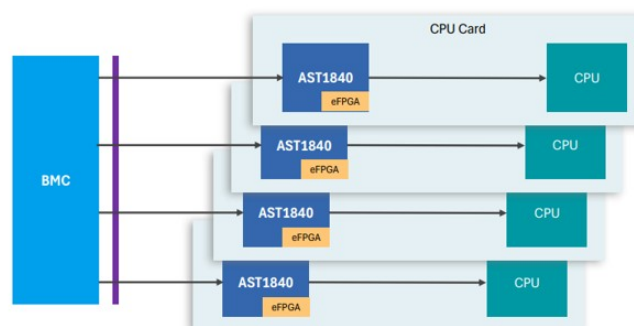
Source: Aspeed

Exhibit 2: Evolving Server Architecture (Single Node)



Source: Aspeed

Exhibit 3: Simplified Design with No FPGA



Source: Aspeed

BMC to Benefit from Growing Agentic Demand

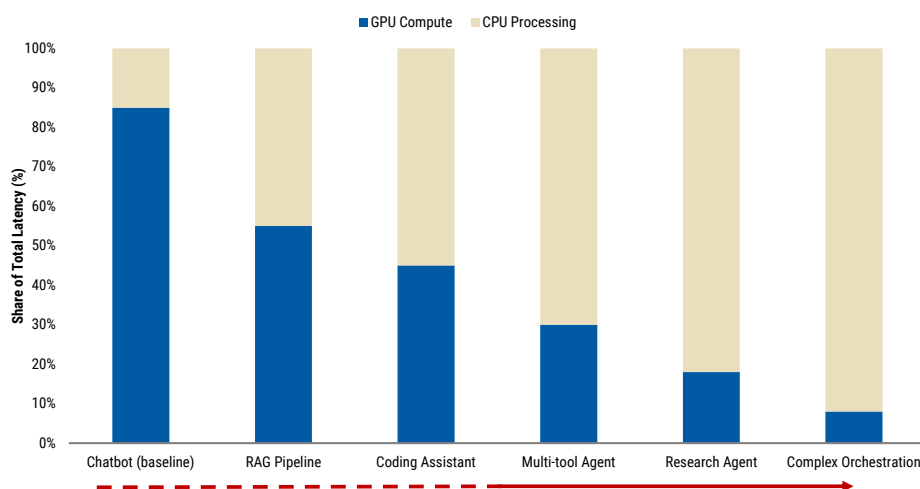
BMC to Benefit from Strong CPU demand

According to Shawn Kim's report ([link](#)), AI is entering a new phase. The first wave of generative AI was dominated by powerful chips running single tasks, such as answering queries or generating text. The next phase – agentic AI – goes further. These systems can plan, reason, remember past actions and interact with tools to complete multi-step tasks. As a result, the economic value in AI is shifting away from any single chip and toward the overall system that supports these agents. Crucially, agentic AI does not reduce demand for GPUs, but it adds more work around them. Planning, coordinating tasks, managing memory and calling external tools all rely heavily on CPUs, memory, networking and storage.

Our analysis suggests that CPU-side processing can account for 50-90% of total workload time in agentic systems. As these systems scale, the balance of infrastructure changes, with cluster-level CPU-to-GPU intensity rising. This has material implications for industry demand. We estimate agentic AI could create a US\$32.5-60bn incremental total addressable market (TAM) for orchestration CPUs by 2030, within a total data center CPU market of US\$82.5-110bn. Persistent memory requirements are equally important: our analysis suggests agentic workloads could drive 15-45 exabytes of additional DRAM demand by 2030, equivalent to 26-77% of 2027 annual DRAM supply.

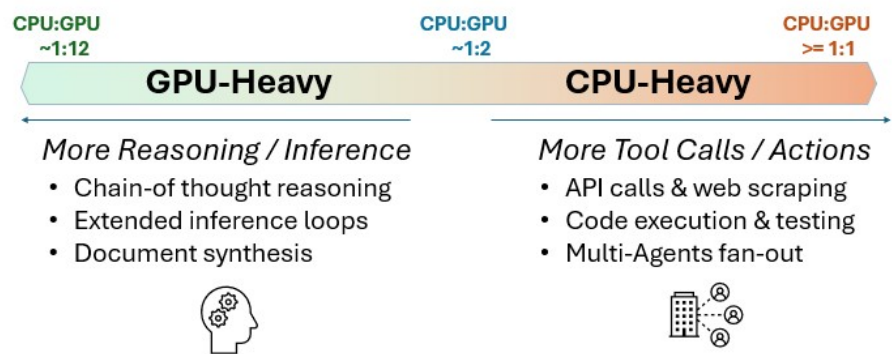
The agentic AI shift broadens well beyond headline AI chips and key beneficiaries include CPU vendors, memory suppliers, storage companies, and advanced packaging and substrate providers, alongside foundries, equipment makers and server manufacturers. In short, agentic AI widens the AI investment landscape, shifting focus from owning the best accelerator to enabling the full system that makes intelligent agents work.

Exhibit 4: Agentic AI shifts the latency bottleneck from GPUs toward CPUs as workflows become more action-heavy



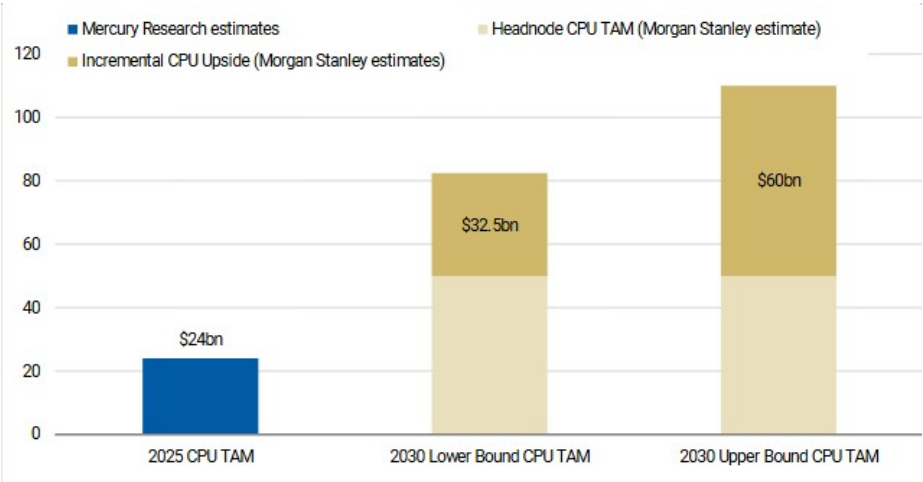
Source: Morgan Stanley Research, Georgia Tech and Intel paper. Note: Per-workload splits are directional estimates by MS Tech Research - not measured benchmarks.

Exhibit 5: Cluster-level CPU:GPU intensity rises as AI moves from reasoning to action



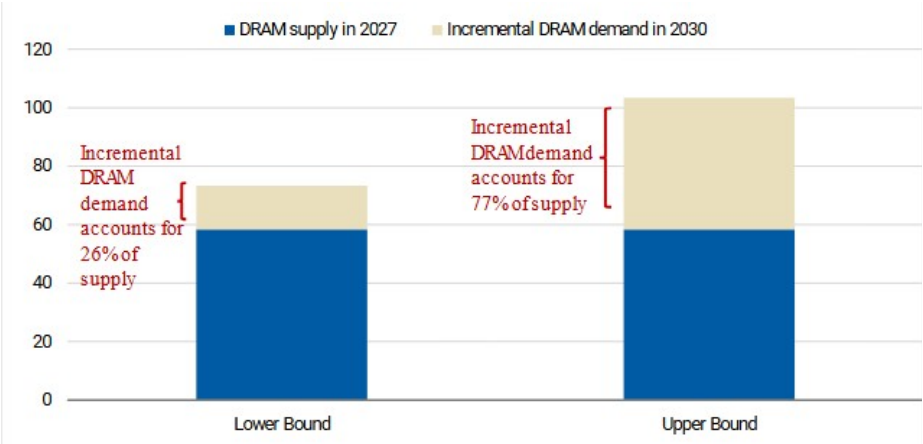
Source: Morgan Stanley Research

Exhibit 6: Agentic AI could add US\$32.5-60bn CPU opportunity...



Source: Morgan Stanley Research estimates

Exhibit 7: ...And 15-45EB of DRAM demand by 2030

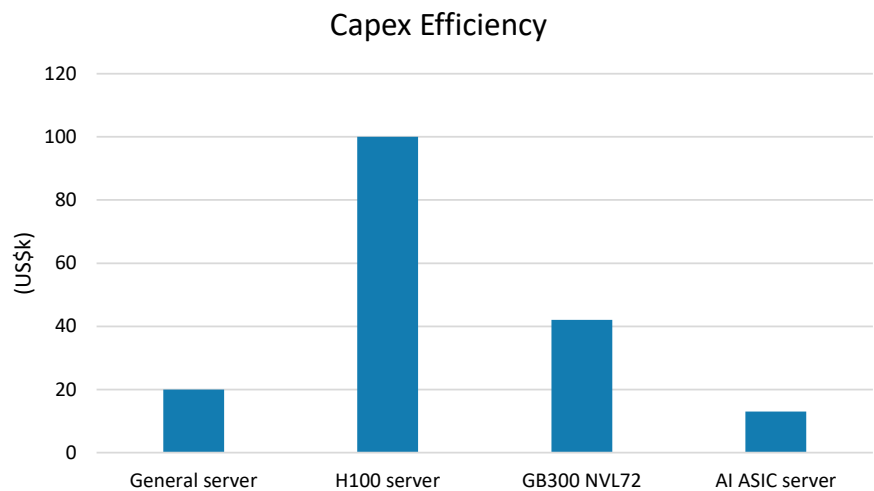


Source: Morgan Stanley Research estimates

Baseboard management IC (BMC) is the key component on the server board, with a view to enabling the remote control for the server firmware system and maintaining the stability of the datacenter. Previously, Aspeed indicated that general server and AI ASIC server actually generate higher efficiency among the capex spending from hyperscalers. ([Exhibit 8](#)) As a result, as the CPU plays a critical role in enabling agentic AI, serving as the central coordinator that executes instructions, manages system resources and ensures reliable, real-time decision-making, we expect the growing demand for CPU/general server to further lift Aspeed's BMC revenue in the coming years.

Currently, Aspeed has ~70% of market shares in the CPU server BMC market, with major US and Chinese hyperscalers being its end customers, including Meta, AWS, Alibaba and Microsoft. However, as it migrates into the new generation BMC product AST2700, we expect it to expand its market share in customers including Dell and Google, which would help expand its revenue as spec migration also brings 40-50% of ASP increase.

Exhibit 8: General server and AI ASIC server generate the highest capex efficiency for BMC

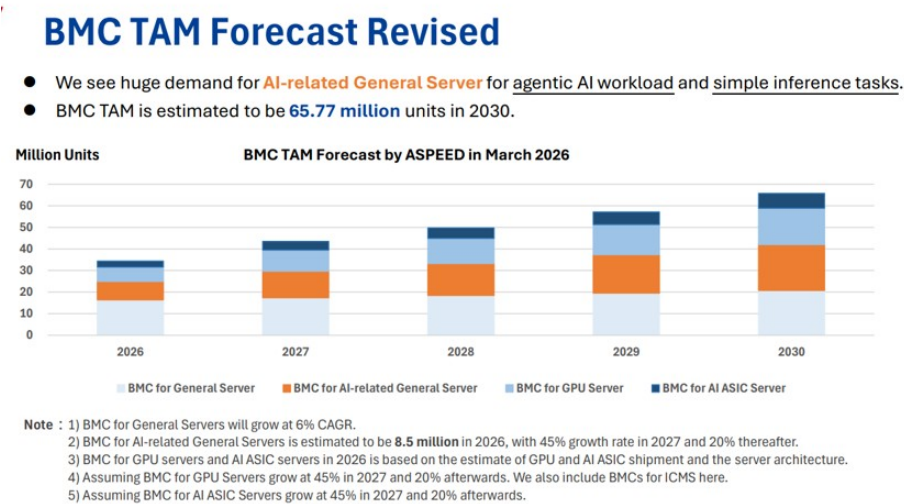


Source: Company data, Morgan Stanley Research; note: Capex efficiency is defined as the amount of server spend that will contribute to one BMC demand. The lower capex efficiency, the better for Aspeed.

Aspeed recently announced an increase in the company's BMC TAM from 46.5mn to 65.77mn in 2030, driven by AI-related general server demand. We think Agentic AI will be the key driving force behind this growth. General server growth should be stable at 6% over 2025-30, while AI-related general servers should account for: 1) 25% of total 2026 general server demand; 2) 45% in 2027; and 3) 20% throughout 2028-30 (see [Exhibit 29](#)).

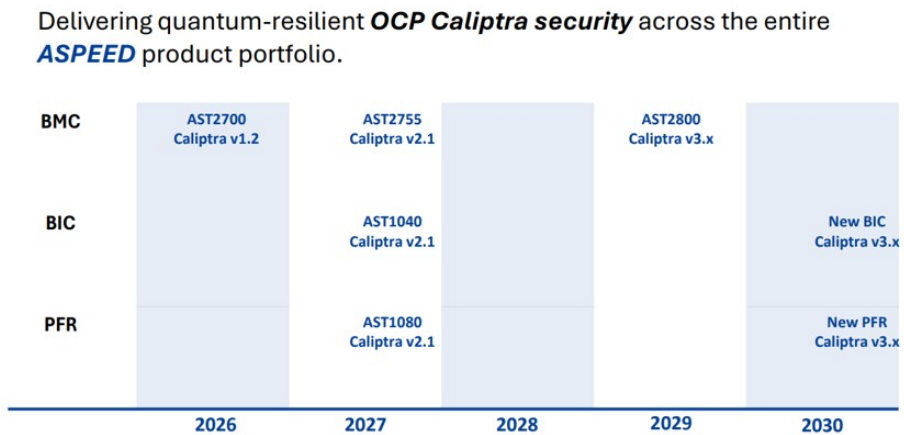
On the order visibility front, customers began providing forecasts 7-8x Aspeed's single-month revenue. Although Aspeed could not roll out any double booking, the current dynamic is that shipments are way beyond all customers' needs. Customers also expect to double capacity Y/Y in 2027.

Exhibit 9: Aspeed expects its BMC TAM to reach 65.7mn units in 2030



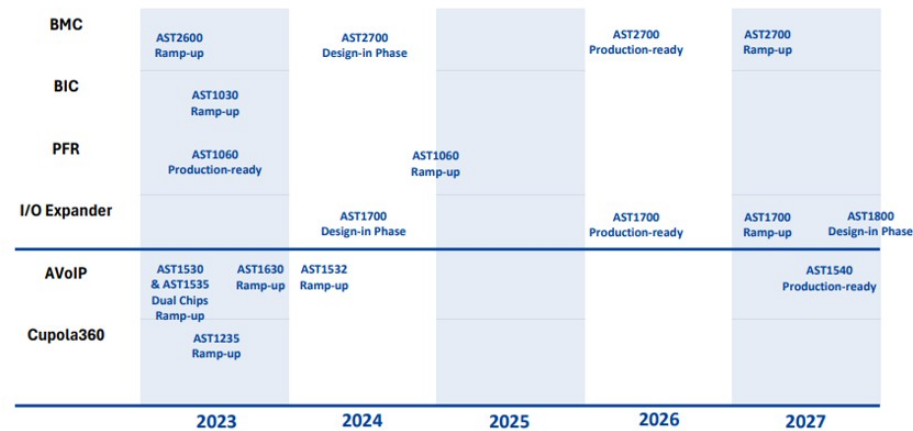
Source: Aspeed

Exhibit 10: Aspeed's product roadmap



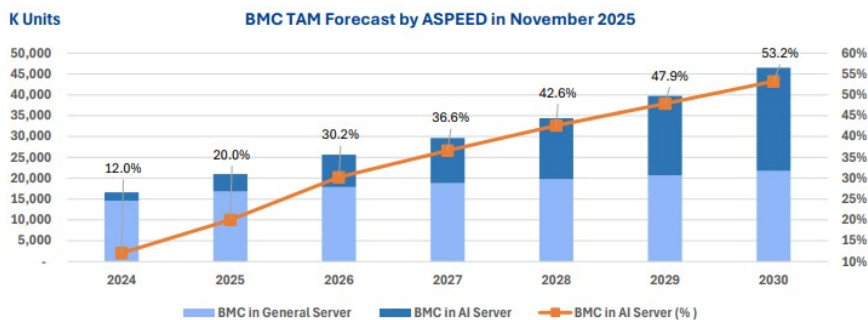
Source: Aspeed

Exhibit 11: Aspeed Product Roadmap



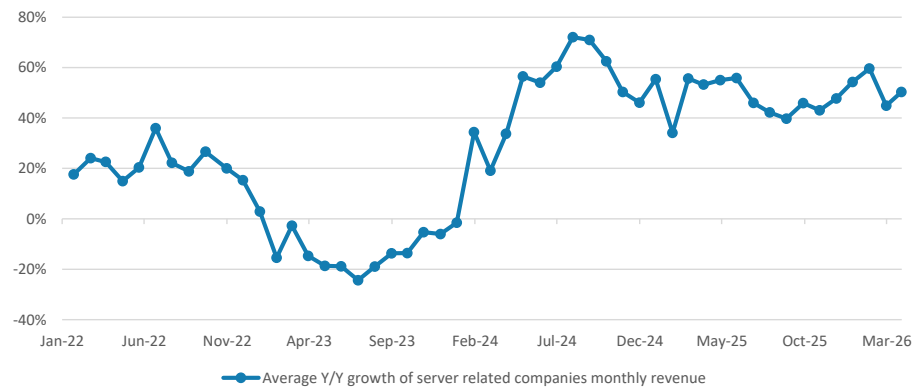
Source: Aspeed

Exhibit 12: BMC TAM Forecast: Expects BMC shipments to reach more than 46.5 million units in 2030



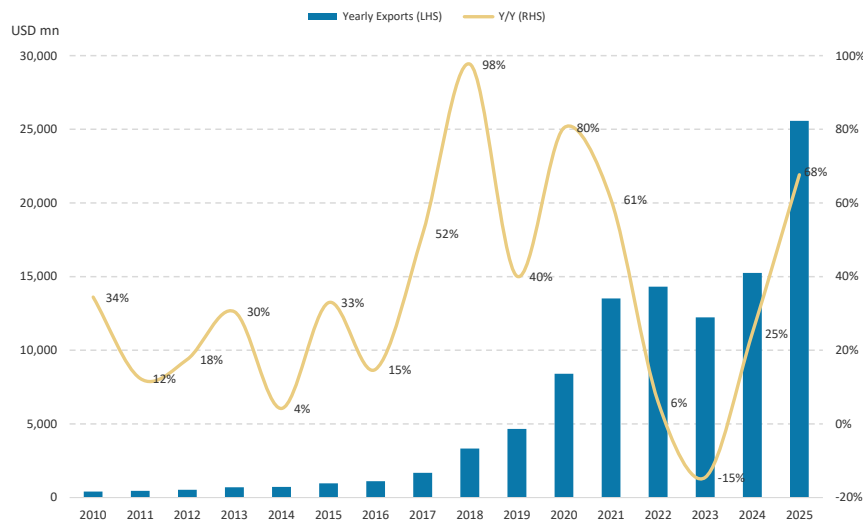
Source: Aspeed

Exhibit 13: Server-related companies maintain high Y/Y revenue growth but slowing a bit because of high base



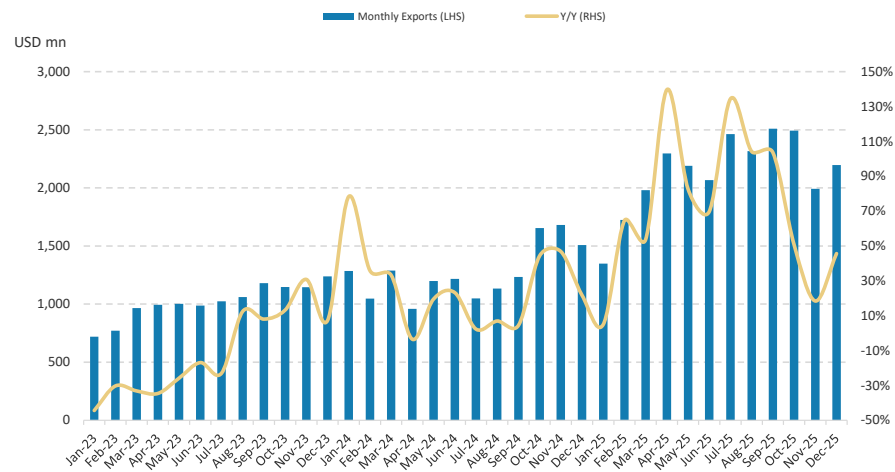
Source: Company data, Morgan Stanley Research. Note: Monthly revenue includes revenue from Aspeed, Wiwynn, Accton, Lotes, Inventec, Quanta, LandMark, Giga-Byte, TSMC, KYEC, AllRing, FOCl, AVC, Auras, Gold Circuit, Unimicron, and Hon Hai.

Exhibit 14: Full-year processor exports increased 68% y/y in 2025



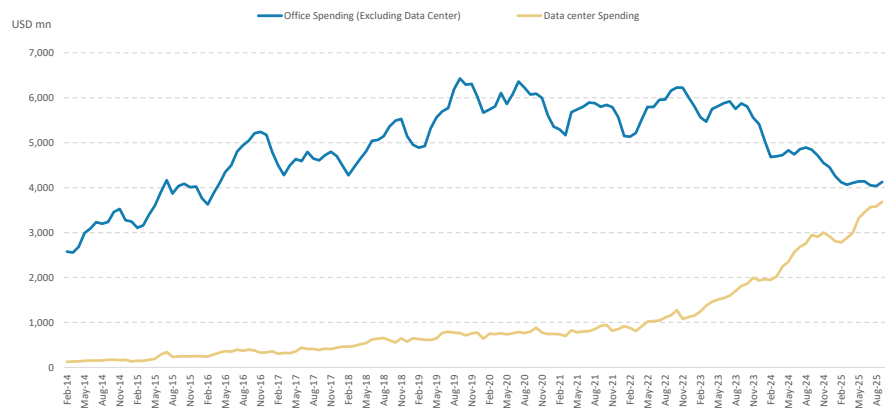
Source: International Trade Administration, Morgan Stanley Research.

Exhibit 15: Processor exports maintain strength with 20 consecutive months of Y/Y growth



Source: International Trade Administration, Morgan Stanley Research.

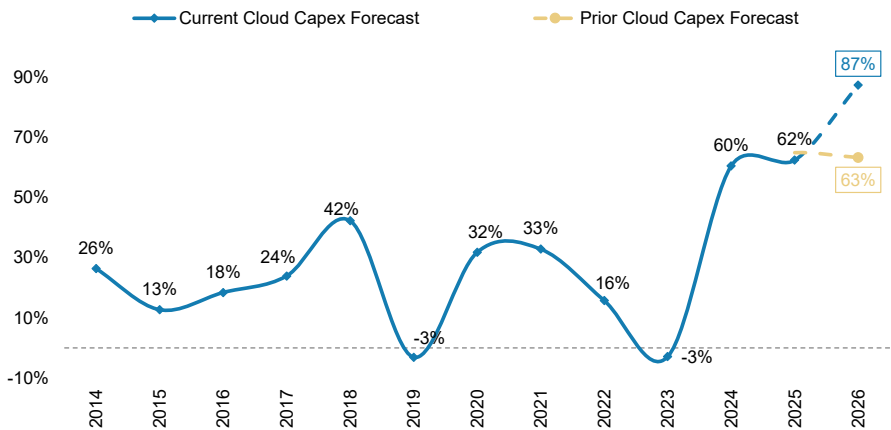
Exhibit 16: Data center construction spending rose 35% Y/Y while other office spending declined



Source: United States Census Bureau, Morgan Stanley Research.

Exhibit 17: Post-US hyperscaler C1Q26 earnings, our cloud capex tracker is now pointing to 87% Y/Y in 2026, up from the prior forecast of +63% Y/Y a month ago

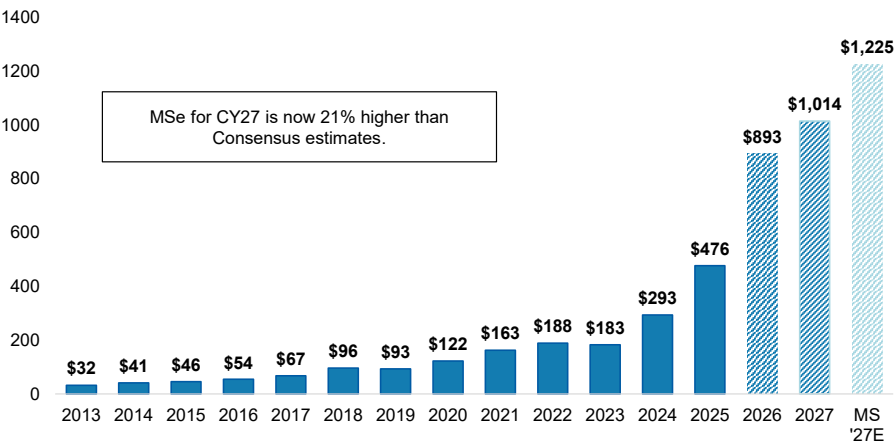
Top 14 Cloud Providers: Cloud Capex Y/Y Growth



Source: Company data, FactSet, Morgan Stanley Research. Note: Cloud capex includes capex from Alphabet, Amazon, Microsoft, Meta Platforms, Alibaba, Tencent, Baidu, CoreWeave, Apple, IBM, and Oracle. We start to include CRWW from 2024.

Exhibit 18: Cumulatively, the top 11 cloud players are expected to devote US\$893bn to capex in 2026 (MSe), up from US\$476bn in 2025

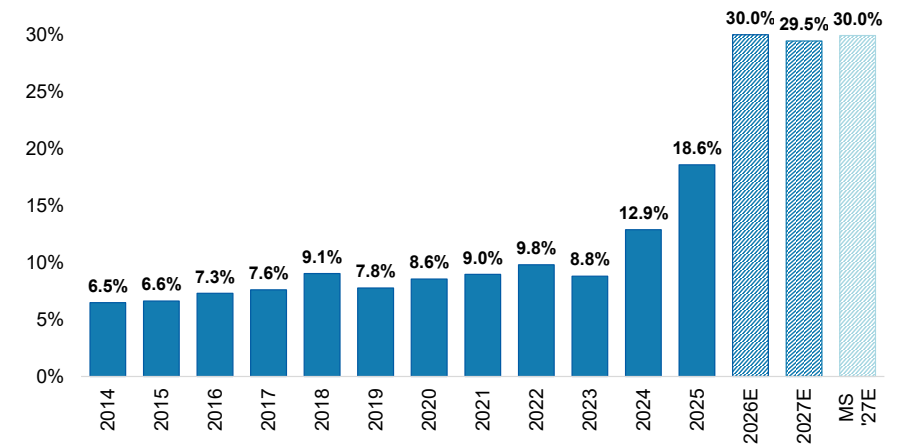
Cloud Capex Spending (\$ Billions)



Source: FactSet, Morgan Stanley Research (E) estimates; Note: ORCL forecasts not updated following latest earnings.

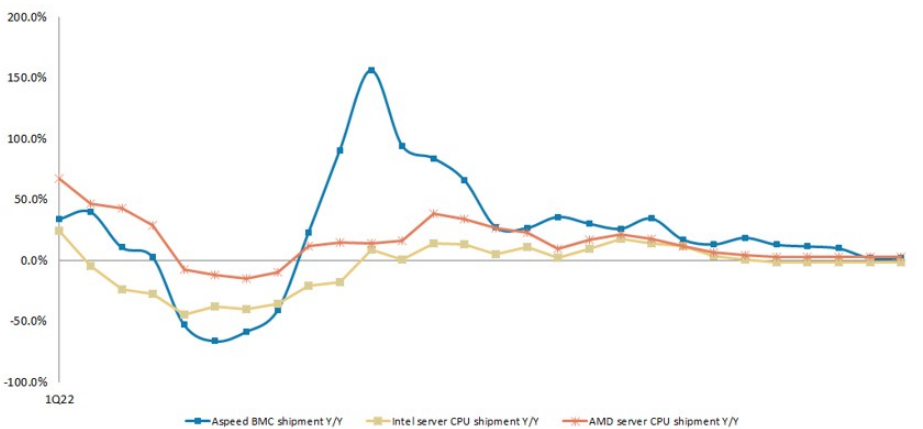
Exhibit 19: With stronger cloud capex now expected in 2026, overall capital intensity is now exceeding 30%, a new all-time high

Top 14 Cloud Providers: Capital Intensity



Source: FactSet, Morgan Stanley Research (E) estimates. Note: Dark blue bars based on consensus estimates, light blue bar based on MSE. ORCL forecasts not updated following latest earnings.

Exhibit 20: Quarterly Aspeed shipments Y/Y and Intel + AMD CPU shipments Y/Y



Source: Company data, Morgan Stanley Research (E) estimates.

Aspeed: Estimate Revisions

We increase our EPS estimates by 14% in 2026, 7% for 2027 and 18% for 2028: We factor in the actual 1Q26 revenue, strong guidance on BMC shipment from growing AI CPU and GPU demand and new products including next-gen SMC and embedded FPGA SoC, with the company securing more substrate supply. Gross margin improvement is mainly from the price hike since April 1, as well as the margin-accretive new products.

Exhibit 21: Aspeed: Earnings estimate revisions

NT\$ mn	Current Previous		Diff.	Current Previous		Diff.	Current Previous		Diff.
	2026E	2026E		2027E	2027E		2028E	2028E	
Net sales	18,507	16,129	15%	25,891	24,055	8%	35,207	30,060	17%
COGS	5,469	4,864		7,546	7,056		9,943	8,688	
Gross profit	13,038	11,265	16%	18,345	17,000	8%	25,264	21,372	18%
Operating expenses	2,265	2,023		2,975	2,899		3,525	3,282	
Operating profit	10,773	9,242	17%	15,370	14,100	9%	21,738	18,091	20%
Non-op. income (exp.)	196	160		116	160		116	160	
Pretax Income	10,969	9,402	17%	15,486	14,260	9%	21,854	18,251	20%
Taxes	2,195	1,739		3,099	2,638		4,374	3,376	
Net income	8,774	7,663	15%	12,386	11,622	7%	17,481	14,874	18%
Reported EPS	232.09	202.73	14%	327.66	307.49	7%	462.42	393.53	18%
Margins									
Gross margin	70.4%	69.8%	1 ppt	70.9%	70.7%	0 ppt	71.8%	71.1%	1 ppt
Operating margin	58.2%	57.3%	1 ppt	59.4%	58.6%	1 ppt	61.7%	60.2%	2 ppt
Pretax margin	59.3%	58.3%	1 ppt	59.8%	59.3%	1 ppt	62.1%	60.7%	1 ppt
Net margin	47.4%	47.5%	0 ppt	47.8%	48.3%	0 ppt	49.7%	49.5%	0 ppt

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 22: Aspeed: Quarterly financials

NT\$ in million (YE DEC31)	1Q26	2Q26E	3Q25E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2024	2025	2026E	2027E	2028E
Total Revenues	3,147	4,228	4,979	6,153	5,420	6,047	7,045	7,378	8,215	8,866	9,019	9,107	6,460	9,085	18,507	25,891	35,207
Sequential Change	28.8%	34.4%	17.8%	23.6%	-11.9%	11.6%	16.5%	4.7%	11.3%	7.9%	1.7%	1.0%					
Change vs Year Ago	52.4%	88.2%	113.7%	151.8%	72.2%	43.0%	41.5%	19.9%	51.6%	46.6%	28.0%	23.4%	106.4%	40.6%	103.7%	39.9%	36.0%
Cost of Sales	970	1,289	1,443	1,768	1,574	1,758	2,055	2,159	2,341	2,510	2,541	2,551	2,306	2,906	5,469	7,546	9,943
Percent of Revenues	31%	30%	29%	29%	29%	29%	29%	29%	28%	28%	28%	28%	36%	32%	30%	29%	28%
Gross Margin	2,177	2,939	3,537	4,385	3,845	4,290	4,991	5,219	5,874	6,355	6,478	6,556	4,154	6,179	13,038	18,345	25,264
Percent of Revenues	69.2%	69.5%	71.0%	71.3%	71.0%	70.9%	70.8%	70.7%	71.5%	71.7%	71.8%	72.0%	64.3%	68.0%	70.4%	70.9%	71.8%
Incremental Margin	72%	70%	80%	72%	NM	71%	70%	69%	78%	74%	80%	89%	64%	77%	73%	72%	74%
Total Opex	518	555	587	605	718	730	760	767	864	877	890	893	1,235	1,518	2,265	2,975	3,525
Percent of Revenues	16.5%	13.1%	11.8%	9.8%	13.2%	12.1%	10.8%	10.4%	10.5%	9.9%	9.9%	9.8%	19.1%	16.7%	12.2%	11.5%	10.0%
R&D	350	370	390	390	450	450	460	460	500	500	510	510	829	1,042	1,501	1,820	2,020
Percent of Revenues	11.1%	8.8%	7.8%	6.3%	8.3%	7.4%	6.5%	6.2%	6.1%	5.6%	5.7%	5.6%	12.8%	11.5%	8.1%	7.0%	5.7%
General & administrative	118	118	118	118	159	159	159	159	200	200	200	201	286	349	473	638	801
Percent of Revenues	3.8%	2.8%	2.4%	1.9%	2.9%	2.6%	2.3%	2.2%	2.4%	2.3%	2.2%	2.2%	4.4%	3.8%	2.6%	2.5%	2.3%
Selling & marketing	49	66	78	97	108	121	141	148	164	177	180	182	120	128	291	518	704
Percent of Revenues	1.6%	1.6%	1.6%	1.6%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	1.9%	1.4%	1.6%	2.0%	2.0%
Operating Income	1,659	2,384	2,950	3,780	3,128	3,559	4,231	4,452	5,010	5,478	5,588	5,663	2,918	4,660	10,773	15,370	21,738
Percent of Revenues	52.7%	56.4%	59.2%	61.4%	57.7%	58.9%	60.0%	60.3%	61.0%	61.8%	62.0%	62.2%	45.2%	51.3%	58.2%	59.4%	61.7%
Change vs Year Ago	61.5%	101.4%	139.5%	210.4%	88.5%	49.3%	43.4%	17.8%	60.2%	53.9%	32.1%	27.2%	170%	60%	131%	43%	41%
Total Non-operating Income(Loss)	109	29	29	29	29	29	29	29	29	29	29	29	249	195	196	116	116
Profit Before Taxes	1,768	2,413	2,979	3,809	3,157	3,588	4,259	4,481	5,039	5,507	5,617	5,692	3,167	4,855	10,969	15,486	21,854
Percent of Revenues	56%	57%	60%	62%	58%	59%	60%	61%	61%	62%	62%	63%	49%	53%	59%	60%	62%
Taxes	354	483	596	762	632	718	852	897	1,008	1,102	1,124	1,139	596	928	2,195	3,099	4,374
Tax Rate	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	18.8%	19.1%	20.0%	20.0%	20.0%
Net Income, Cont Ops	1,414	1,930	2,383	3,047	2,525	2,870	3,407	3,584	4,030	4,405	4,493	4,553	2,571	3,928	8,774	12,386	17,481
Percent of Revenues	45%	46%	48%	50%	47%	47%	48%	49%	49%	50%	50%	50%	40%	43%	47%	48%	50%
Reported Income (TW GAAP)	1,414	1,930	2,383	3,047	2,525	2,870	3,407	3,584	4,030	4,405	4,493	4,553	2,571	3,928	8,774	12,386	17,481
Percent of Revenues	45%	46%	48%	50%	47%	47%	48%	49%	49%	50%	50%	50%	40%	43%	47%	48%	50%
Change vs Year Ago	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	155%	53%	123%	41%	41%
Reported EPS (NT\$, TW GAAP)	37.41	51.06	63.03	80.59	66.79	75.93	90.13	94.81	106.61	116.53	118.84	120.44	68.05	103.94	232.09	327.66	462.42
Change vs Year Ago	60%	207%	96%	154%	79%	49%	43%	18%	60%	53%	32%	27%	155%	53%	123%	41%	41%

Source: Company data, Morgan Stanley Research (E) estimates

Aspeed: Valuation Methodology

We raise our price target (base-case scenario value) from NT\$20,000 to NT\$23,456:

This reflects our higher EPS estimates assumptions, with a view to factoring in opportunities for CPU servers from agentic AI applications and also the new product launch for partnership with Lattice.

Our key assumptions are unchanged, including:

- Payout ratio of 85%;
- Intermediate growth rate of 21.4%;
- Cost of equity of 9.8% (2% risk-free rate, 6% risk premium, 1.3 beta);
- Terminal growth rate of 5.5%.

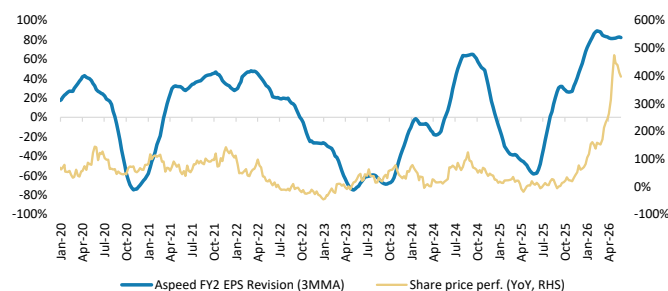
Our bull- and bear-case scenario values also increase, from NT\$23,300 and NT\$9,930, to NT\$28,700 and NT\$11,300, respectively, implying 88x and 34x our 2027 EPS estimates.

Exhibit 23: Aspeed: Residual income model

NT\$million	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity	13,066	18,131	25,275	30,264	36,320	43,675	52,605	63,449	76,616	92,604	112,017	135,590
Net Profit	8,774	12,386	17,481	21,226	25,774	31,296	38,001	46,143	56,030	68,034	82,611	100,311
ROAE	85.0%	79.4%	80.5%	76.4%	77.4%	78.2%	78.9%	79.5%	80.0%	80.4%	80.7%	81.0%
Residual Income	5,697	9,098	12,831	16,848	20,470	24,868	30,206	36,689	44,559	54,116	65,719	79,809
Spread	75.3%	69.6%	70.8%	66.7%	67.6%	68.5%	69.2%	69.7%	70.2%	70.6%	71.0%	71.2%
Ending Equity Capital	13,066											
PV of Forecast Period	168,078											
PV of Continuing Value	705,569											
Equity Value	866,713											
No. of Shares	38											
Projected Price	23,456											

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 24: Aspeed: Estimate revision breadth



Source: Company data, Morgan Stanley Research estimates

Exhibit 25: Aspeed: Forward P/E ratio



Source: Company data, Morgan Stanley Research estimates

Aspeed: Financial Summary

Income Statement

NT\$mnn (Years End Dec)	2024	2025	2026E	2027E	2028E
Net sales	6,460	9,085	18,507	25,891	35,207
COGS	(2,306)	(2,906)	(5,469)	(7,546)	(9,943)
Gross profit	4,154	6,179	13,038	18,345	25,264
Operating expenses	(1,235)	(1,518)	(2,265)	(2,975)	(3,525)
Operating income	2,918	4,660	10,773	15,370	21,738
Non-operating income	249	195	196	116	116
Pre-tax income	3,167	4,855	10,969	15,486	21,854
Income tax	596	928	2,195	3,099	4,374
Reported net income	2,571	3,928	8,774	12,386	17,481
Adj.wtd.avg.shrs(m)	38	38	38	38	38
Reported EPS (NT\$)	68.05	103.94	232.09	327.66	462.42

Balance Sheet

NT\$mnn (Years End Dec)	2024	2025	2026E	2027E	2028E
Cash	3,659	5,788	9,804	13,747	19,468
Mkt Securities	352	510	510	510	510
AR/NR	1,437	1,606	3,100	4,337	5,897
Inventory	357	280	599	827	1,089
Other	181	224	224	224	224
Current Assets	5,987	8,408	14,238	19,645	27,189
Long-term investments	0	0	0	0	0
Fixed assets	355	409	439	469	499
Deferred assets	69	59	59	59	59
Other assets	1,316	1,457	1,457	1,457	1,457
Total Assets	7,726	10,334	16,193	21,630	29,204
S/T borrowings	0	0	0	0	0
AP/NP	426	616	980	1,352	1,782
Other ST liabilities	1,457	1,828	1,828	1,828	1,828
LT debt	0	0	0	0	0
Other LT liabilities	204	319	319	319	319
Common shares	378	378	378	378	378
Total Liabilities	2,087	2,763	3,127	3,499	3,929
Additional capital	2,440	2,665	2,665	2,665	2,665
Retained earning	2,851	4,529	10,024	15,089	22,234
Other shareholders' equity	(31)	(2)	(2)	(2)	(2)
Total Equity	5,639	7,571	13,066	18,131	25,275
Total Liab. & Shrhldr's Equity	7,726	10,334	16,193	21,630	29,204

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT\$mnn (Years End Dec)	2024	2025	2026E	2027E	2028E
Cashflow from Operations	3,145	4,496	7,325	11,294	16,087
Net profits	2,571	3,928	8,774	12,386	17,481
Depreciation	121	167	0	0	0
Working Capital Change	(66)	453	(1,449)	(1,092)	(1,393)
Other adjustments	519	(52)	0	0	0
Cashflow from Investing	(345)	(395)	(30)	(30)	(30)
Capex	(25)	(274)	(30)	(30)	(30)
Change of LT Investment	0	0	0	0	0
Change of ST Investment	43	(128)	0	0	0
Other adjustments	(363)	8	0	0	0
Cashflow from financing	(781)	(1,991)	(3,279)	(7,321)	(10,336)
Increase in L/T debt	0	0	0	0	0
Increase in S/T debt	0	0	0	0	0
Cash Dividend Paid	(756)	(1,967)	(3,279)	(7,321)	(10,336)
Dir& Emp Bonus Paid	0	0	0	0	0
Issuance of stock	0	0	0	0	0
Other adjustments	(25)	(25)	0	0	0
Exchange rate adjustment	30	19	0	0	0
Net change in cash	2,048	2,129	4,016	3,943	5,721

Financial Ratios

	2024	2025	2026E	2027E	2028E
Growth(%)					
Turnover	106.4	40.6	103.7	39.9	36.0
Operating profits	170.3	59.7	131.2	42.7	41.4
EPS	155.2	52.7	123.3	41.2	41.1
Margins (%)					
Gross Margin	64.3	68.0	70.4	70.9	71.8
Operating Margin	45.2	51.3	58.2	59.4	61.7
Pretax Margin	49.0	53.4	59.3	59.8	62.1
Net Margin	39.8	43.2	47.4	47.8	49.7
Return (%)					
ROAE	54.3	59.5	85.0	79.4	80.5
ROAA	41.9	43.5	66.2	65.5	68.8
Gearing (%)					
Net Debt/Equity	(64.9)	(76.5)	(75.0)	(75.8)	(77.0)
Liabilities/Equity	37.0	36.5	23.9	19.3	15.5
Ratios (X)					
Current ratio	3.2	3.4	5.1	6.2	7.5
Quick ratio	2.7	3.0	4.6	5.7	7.0
Others					
AR/NR Turnover (days)	61	61	61	61	61
Inventory Turnover (days)	52	40	40	40	40
AP Turnover (days)	53	65	65	65	65
Cash Conversion (days)	60	36	36	36	36

Risk Reward – Aspeed Technology (5274.TWO)

Agentic AI demand for general server driving further upside; OW

PRICE TARGET NT\$23,456.00

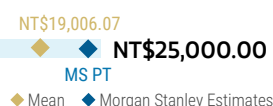
Base case, residual income model. Key assumptions:

- Cost of equity of 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta)
- Medium-term growth rate of 21.4%
- Terminal growth rate of 5.5%
- Cash payout ratio of 85%

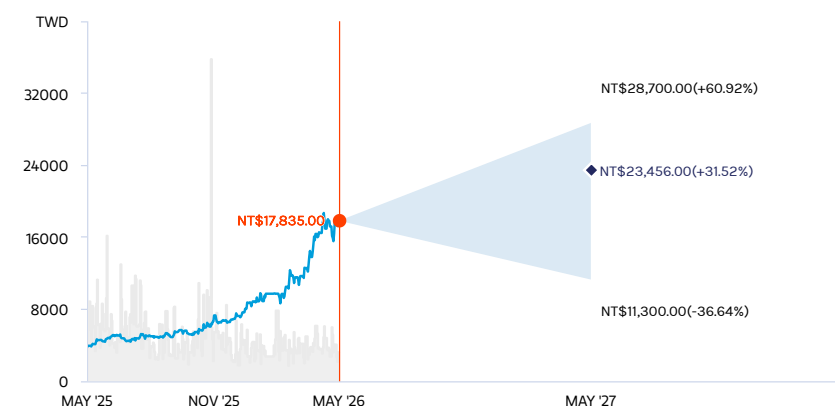
Consensus Price Target Distribution

NT\$7,400.00 NT\$19,006.07 NT\$25,000.00

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

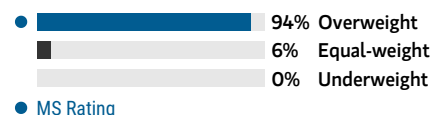


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see continual general server shipment upward revisions, likely to exceed 20% Y/Y in 2026.
- Aspeed's shipments are currently capped by T-glass shortage, but the company is now qualifying E-glass, which we believe can help expand its shipments to over 2mn units per month.
- Aspeed maintains the lion's share in ASIC racks. Google TPU has long adopted MCU, while we see it utilizing Aspeed's BMC in its next-generation TPU. We expect this to contribute 13% of revenue in each 2027 and 2028.
- Our price target implies 72x our 2027e and 49x our 2028e EPS, above the 46x average one-year forward P/E since 2020, which we find justified by improving demand and new market share expansion.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE NT\$28,700.00

88x 2027e EPS

Booming data center demand with significant share gains; meaningful OPM expansion; new businesses take off faster than expected: Significant earnings growth from data center demand and market share gains in white brands and US server brands. Margins improve considerably. New business growth accelerates. We also assume AI servers fully ramp-up, and clients execute new server platform migration faster than expected.

BASE CASE NT\$23,456.00

72x 2027e EPS

Cloud/traditional servers momentum resuming; remains a beneficiary of ASICs; new business bears fruit: 1) Revenue growth of 104% Y/Y in 2026 after strong growth in 2025; 2) gross margin of 70.4% in 2026 vs. 68.1% in 2025, OPM improves to 58.2% in 2026 vs. 52.2% in 2025; 3) TPU gets more demand from Aspeed's BMC and agentic AI drives more general server demand.

BEAR CASE NT\$11,300.00

34x 2027e EPS

Disappointing end-demand, with share loss; operating margin pressure; new businesses face challenges: Revenue growth decelerates amid slow data center demand and share loss amid a weakening macro environment. OPM pressure emerges amid intense competition. New businesses stay flattish as end-markets take off more slowly.

Risk Reward – Aspeed Technology (5274.TWO)

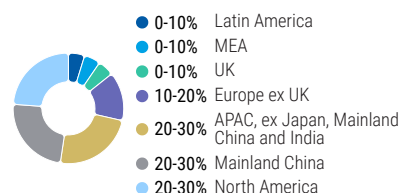
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
BMC revenue (NT\$, mn)	8,024	17,074	23,485	31,205
360 degree SoC revenue (NT\$, mn)	62	67	95	154
PC/AV extension IC revenue (NT\$, mn)	105	44	47	52

INVESTMENT DRIVERS

- Expanding share in baseboard management controller (BMC) market
- Cloud spending acceleration from customers
- Margin expansion
- New business progress

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger cloud demand
- Faster-than-expected spec migration
- Mild competition

RISKS TO DOWNSIDE

- Softening cloud demand
- Slower-than-expected spec migration
- Intensified competition
- Further policy tightening in China

OWNERSHIP POSITIONING

Inst. Owners, % Active **66.8%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue
(NT\$, mn)

13,377 **15,757** **18,507**

EBITDA
(NT\$, mn)

7,516 **8,887** **10,773**

Net income
(NT\$, mn)

5,952 **7,115** **8,774**

EPS
(NT\$)

157.46 **187.73** **232.09**

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Valuation Methodology and Risks

Montage Technology Co Ltd (688008.SS)

Base case, residual income model. Key assumptions:

- 8.4% CoE (1.2 beta, 3.0% risk-free rate, and 4.5% risk premium)
- 30% payout ratio
- 19.3% medium-term growth rate
- 4% terminal growth rate

These assumptions are justified, given cloud capex growth, DRAM interface technology migration, and Montage's strong position in China's datacenter semi localization.

Risks to Upside

- Faster-than-expected phase-out of US peers
- Faster-than-expected spec migration

Risks to Downside

- Weaker-than-expected cloud demand
- Slower-than-expected DRAM interface technology migration
- Delay in new product launches

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of April 30, 2026)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

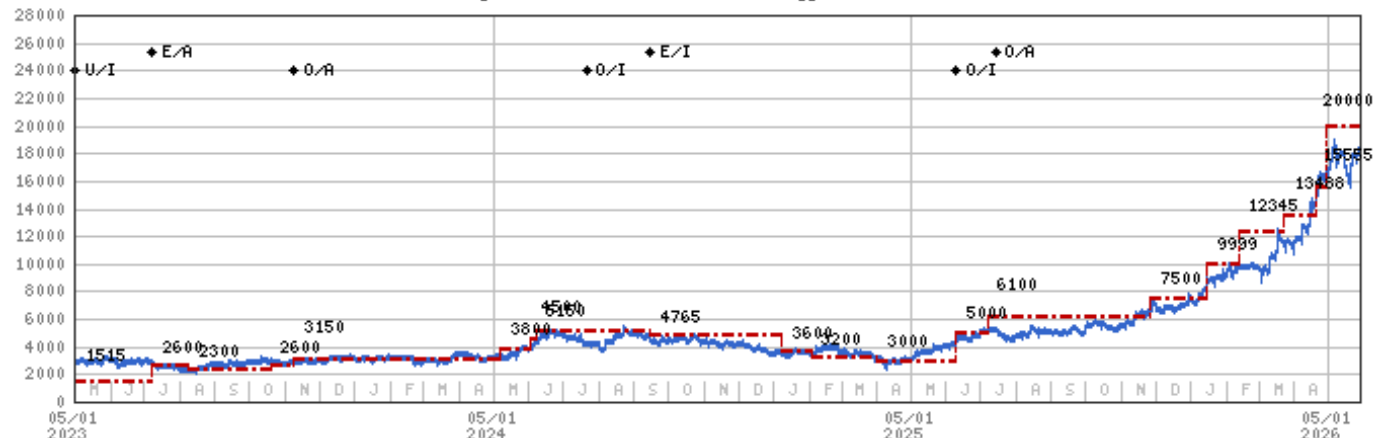
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Aspeed Technology (5274.TW) - As of 05/28/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 5/1/21 : O/I; 10/12/21 : O/C; 5/20/22 : E/C; 10/4/22 : E/A; 1/11/23 : U/A; 2/22/23 : U/I; 7/7/23 : E/A; 11/8/23 : O/A; 7/21/24 : O/I; 9/15/24 : E/I; 6/9/25 : O/I; 7/14/25 : O/A

Price Target History: 4/23/21 : 2036.36; 6/3/21 : 2322.73; 11/16/21 : 3090.91; 4/8/22 : 3636.36; 5/20/22 : 2181.82; 7/13/22 : 2182; 7/19/22 : 1700; 10/12/22 : 1595; 1/11/23 : 1515; 7/7/23 : 2600; 8/8/23 : 2300; 10/19/23 : 2600; 11/8/23 : 3150; 5/7/24 : 3800; 6/3/24 : 4500; 6/7/24 : 5150; 9/15/24 : 4765; 1/8/25 : 3600; 2/3/25 : 3200; 4/1/25 : 3000; 6/9/25 : 5000; 7/7/25 : 6100; 11/26/25 : 7500; 1/15/26 : 9999; 2/11/26 : 12345; 3/23/26 : 13486; 4/20/26 : 15555; 4/29/26 : 20000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

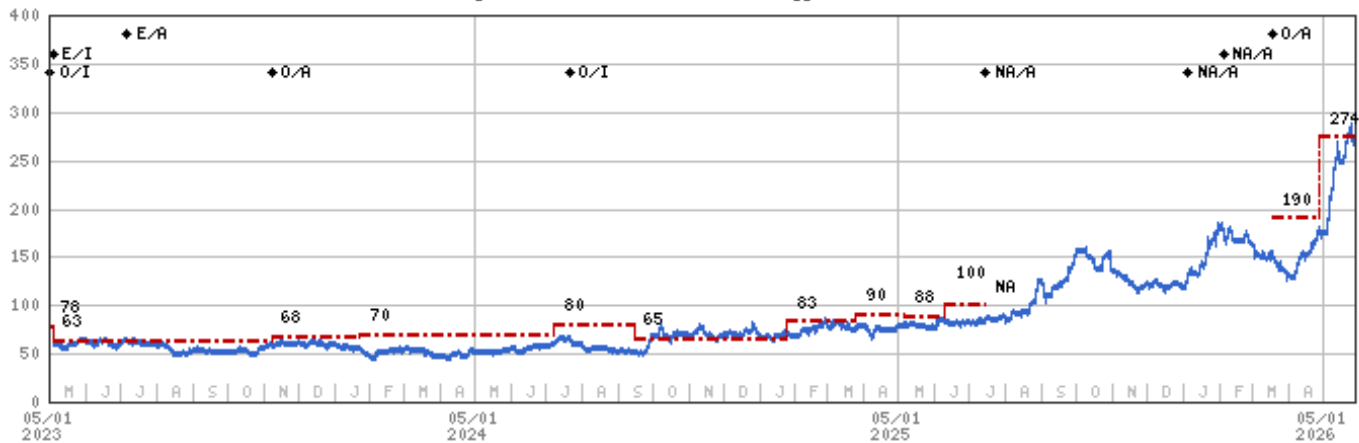
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Montage Technology Co Ltd (688008.SS) - As of 05/28/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 5/1/21 : O/I; 5/5/21 : E/I; 10/12/21 : E/C; 5/20/22 : U/C; 10/4/22 : U/A; 12/13/22 : O/A; 2/22/23 : O/I; 5/4/23 : E/I; 7/7/23 : E/A; 11/8/23 : O/A; 7/21/24 : O/I; 7/14/25 : NA/A; 1/5/26 : NA/A; 2/4/26 : NA/A; 3/18/26 : O/A
Price Target History: 3/24/21 : 88; 5/5/21 : 55; 10/29/21 : 62; 11/16/21 : 80; 4/8/22 : 60; 5/20/22 : 52; 7/19/22 : 44; 10/12/22 : 38; 12/13/22 : 85; 1/11/23 : 78; 5/4/23 : 63; 11/8/23 : 68; 1/23/24 : 70; 7/8/24 : 80; 9/15/24 : 65; 1/24/25 : 83; 3/25/25 : 90; 5/6/25 : 88; 6/9/25 : 100; 7/14/25 : NA; 3/18/26 : 190; 4/28/26 : 274

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/28/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$88.64
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb453.12
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$165.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,300.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$627.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,391.50
Global Unichip Corp (3443.TW)	E (05/28/2026)	NT\$4,590.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$927.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$535.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$170.00
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$546.50
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$320.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb117.09
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,410.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb699.70
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$324.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb659.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb101.90
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,450.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb121.50
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$620.00
SMIC (0981.HK)	O (10/21/2025)	HK\$88.25
TSMC (2330.TW)	O (02/07/2022)	NT\$2,295.00
UMC (2303.TW)	O (05/19/2026)	NT\$142.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$161.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$528.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$199.70
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb69.80
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$161.00
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb128.58
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb38.44
Innoscence (2577.HK)	E (10/13/2025)	HK\$75.55
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb84.74
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$35.50
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb163.55
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb143.00
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb86.30
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb44.00
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb114.30

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$1,095.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,440.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,835.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$125.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb179.13
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb483.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$160.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$458.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb260.98
Novatek (3034.TW)	U (02/04/2026)	NT\$478.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$188.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$845.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$80.70
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$594.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb66.09
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$144.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$121.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$289.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb147.80
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb548.01

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,240.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$815.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$20.65
Hon Precision (7769.TW)	O (04/17/2026)	NT\$7,700.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,915.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$284.98
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$9,120.00

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* Historical prices are not split adjusted.